

Samsung APAC

Reputation Risk & Strategic Analysis

1. Company Context

The presentation describes Samsung as a South Korean multinational manufacturing conglomerate headquartered in Samsung Digital City, Suwon, South Korea, with numerous affiliated businesses united under the Samsung brand. It identifies Samsung as the largest South Korean chaebol and states that, as of 2024, Samsung had the world's fifth-highest brand value.

2. Analytical Structure

1. Understanding reputational risk.
2. Critical evaluation.
3. Strategy development.

3. Reputational Risk Cases

3.1 Galaxy Note 7 Battery Crisis

The first case examines the 2016 Galaxy Note 7 battery crisis. The deck describes battery-explosion reports beginning in late August and early September and states that, for batteries sourced from Samsung SDI, there was insufficient room between the heat-sealed protective pouch and its internal components.

4. August 2: Galaxy Note 7 released.
5. August 31: shipment delayed for additional quality-control tests.
6. September 2: DJ Koh apologized.
7. Samsung announced a global recall; the deck notes China was initially outside the recall scope.
8. September 8: U.S. aviation authorities and airlines advised passengers not to turn on or charge the phone on planes.
9. September 9: U.S. Consumer Product Safety Commission advised consumers to stop using the phone and later issued a formal recall.
10. October 5: reports emerged of a replacement Note 7 overheating on a U.S. flight.
11. October 11: Samsung stopped production and instructed users to stop using the device.

3.2 Labor Rights Concerns

The presentation cites a visit to Vietnam, India and Indonesia involving 129 Samsung Electronics workers. It states that workers generally received wages at or slightly above minimum wage but describes demanding conditions, long working hours, occupational health concerns and difficulty sustaining employment.

3.3 Corruption Issues

The deck discusses a 2017 prosecution involving Lee and states that prosecutors accused him of donating 41 billion won to an organization linked to Choi Soon-sil in exchange for government support for a major Samsung restructuring plan. The deck also notes that Samsung denied the bribery allegations and said it would help establish the truth.

4. Critical Evaluation

1. Product quality and customer trust: the Note 7 incident is presented as a major reputational risk.
2. Employee welfare and workplace safety: the deck highlights criticism of labor practices, unsafe working conditions and occupational diseases.
3. Sustainability initiatives: Samsung is presented as pursuing environmental stewardship, including a 2050 net-zero emissions commitment, eco-friendly products and recycling programs.

5. Regional Differences

- Regulatory framework: strict compliance in highly regulated markets such as the EU, including GDPR.
- Cultural expectations: adaptation of products and marketing to local cultures is presented as a strength.
- Global vs local tensions: local adaptation can sometimes conflict with global corporate values.

6. Operational Ethics Challenges

- Labor conditions versus sustainability commitments: the deck contrasts Samsung's sustainability narrative with investigations cited in the presentation involving labor and environmental concerns.
- CSR narratives versus ground realities: the presentation cites programs such as Smart School and Samsung Solve for Tomorrow while emphasizing the importance of real operating conditions.

7. Proactive Reputation Recommendations

- Increase community engagement across regions.
- Improve monitoring and transparency mechanisms.
- Consider blockchain for supply-chain transparency.
- Develop environmental initiatives such as clean-energy projects in Vietnam and e-waste recycling in Manila and Jakarta.

8. Reactive Risk Management

- Build a robust crisis-response framework with regionally specific teams for controversies such as product recalls.
- Build trust through partnerships, including collaboration with local NGOs such as labor-rights organizations in Vietnam.

9. Ethical Alignment Across Regions

- Establish regional ethics committees.
- Conduct cultural-sensitivity training for leadership.
- Use third-party audits, community feedback and technology such as AI to monitor ethical labor and sustainability practices.
- Introduce supplier incentives for adherence to ethical codes.
- Partner with educational institutions for local workforce development.
- Conduct town-hall meetings with regional leaders.

10. Transparency and CSR Reporting

- Publish region-specific CSR reports with metrics, challenges and real-life success stories.
- Include local communities, NGOs and government bodies in CSR design and feedback.
- Create diverse regional stakeholder advisory boards.
- Develop real-time CSR tracking platforms.
- Use mobile apps or websites to provide live updates on environmental and social goals.

11. Conclusion

The presentation frames Samsung's APAC reputation challenge around product safety, labor conditions, corruption-related allegations, sustainability expectations and the balance between global standards and local realities. Its recommendations focus on monitoring, crisis preparedness, transparency, ethical alignment and regional stakeholder engagement.